



Tamil Nadu Climate Resilient Urban Development Program (P179189)

SOUTH ASIA | India | Urban, Resilience and Land Global Practice | Requesting Unit: SACIN (347) | Responsible Unit: ISAU1 (9353)
IBRD/IDA | Program-for-Results Financing | FY 2024 | Team Leader(s): Raghu Kesavan, Mathews Mullackal Kunju Kunju Kutty

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1. PROJECT DEVELOPMENT OBJECTIVE

1.1 Development Objective

Original Development Objective (Approved as part of Approval package on 21-Dec-2023)
To strengthen urban management and improve access to efficient and climate resilient urban water and sanitation services in participating ULBs in Tamil Nadu

2. OVERALL RATINGS

Name	Previous	Current
Progress towards achievement of PDO	● Satisfactory	● Satisfactory
Overall Implementation Progress (IP)	● Satisfactory	● Satisfactory
Overall Risk Rating	● Substantial	● Substantial

3. KEY ISSUES & STATUS

3.1 Implementation Status and Key Decisions

The World Bank loan for the operation became effective on April 22, 2024. The Independent Verification Agency has verified the achievement of the Disbursement Linked Indicator on own source revenue increase and the corresponding disbursement is being processed by the World Bank. Three Urban Local Bodies (ULBs) have met the Program Development Objective indicator "ULBs with Own Source Revenue Increase of above 65% over the respective baseline in FY 21-22". Contracts for several investment sub-projects have been signed, while procurement of the remaining contracts is at an advanced stage.



4. DATA ON FINANCIAL PERFORMANCE

4.1 Disbursements (by loan)

Loan/Credit/TF	Status	Original	Revised	Cancelled	Disbursed	Undisbursed	% Disbursed
IBRD-96250	Effective	300.00	300.00	0.00	27.52	272.43	9.18%

4.2 Key Dates (by loan)

Loan/Credit/TF	Status	Approval	Signing	Effectiveness	Orig. Closing	Rev. Closing
IBRD-96250	Effective	21-Dec-2023	05-Mar-2024	22-Apr-2024	31-Dec-2030	31-Dec-2030

4.3 Program Action Plan

Action Description	Issue Government Order to operationalize the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Other	NA	Government of Tamil Nadu	Other	Within four months from effectiveness of the Loan Agreement	Completed
Completion Measurement	Government of Tamil Nadu issues GO which covers the scope, results areas and DLIs, implementation arrangements, budgets, fund flow arrangements of the Program and adoption of Program Operations Manual.				
Comments	The Government Order was issued on May 20, 2024.				

Action Description	ULBs implementing 24x7 water supply and sewerage subprojects issue tariff by-laws that require volumetric tariffs for water supply and user charges for sewerage services				
Source	DLI#	Responsibility	Timing	Timing Value	Status



Technical	NA	ULBs	Other	Within two years from Effectiveness date	In Progress
Completion Measurement	ULBs implementing 24x7 water supply and sewerage subprojects issue legally binding notification which sets out volumetric tariffs for water supply and at least a flat monthly charge for sewerage services				
Comments	The DMA has circulated a Common Template for bylaws with volumetric tariff to all the ULBs and some ULB Councils have adopted it already. The remaining ULBs are expected to obtain Council approvals by June 2025.				

Action Description	Screen and assess environmental impacts of Program activities, implement Environmental and Social Management Plan (ESMP) guided by environmental and social sections of the POM, with monitoring linked to Tamil Nadu Urban Tree Information System				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Environmental and Social Systems	NA	TNUIFSL and DMA	Other	Environmental and Social Guidance Sections prepared and agreed as part of POM within four months from effectiveness, and followed for all Program activities	In Progress
Completion Measurement	Confirmation by Annual Environmental and Social Audits that all Program activities follow the systems developed in ESSA				
Comments	ESIAs have been prepared for all 28 sub-projects. The ESMP has been included in the bid documents as well as in the contract document. Compliance with the ESMP will be monitored through UTIS by September 2025.				

Action Description	Develop environmental management capacities at Program agencies including trainings and guidance to support prevention of Manual Scavenging				
Source	DLI#	Responsibility	Timing	Timing Value	Status



Environmental and Social Systems	NA	DMA, TNUIFSL and ULBs	Other	Develop within two years after the effectiveness of the Loan Agreement and continued throughout Program implementation	In Progress
Completion Measurement	Confirmation on environmental management capacities, and support activities (referring to ESSA) as part of Annual Environmental Audits				
Comments	Modalities for the compilation of findings & recommendations from the various studies on the prevention of manual scavenging & sludge management and the preparation of SOPs for sewer & sludge management during O&M are to be finalized by May 15, 2015.				

Action Description	Develop and implement a comprehensive Stakeholder Engagement Strategy and Action Plan				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Environmental and Social Systems	NA	TNUIFSL and DMA	Other	Developed within six months from effectiveness; implementation throughout Program duration	Not Yet Due
Completion Measurement	Action plan for improving marginalized population's (including women's) access to grievance redressal system and getting citizen feedback, and communication activities on metering, tariffs, sewerage connection and emergency response are implemented.				
Comments	The TOR was cleared by the Bank in November 2024 and the procurement process is expected to be completed by June 2025.				

Action Description	Strengthen staffing and fiduciary capacity of the implementing agencies				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA and TNUIFSL	Other	Within six months from effectiveness	In Progress
Completion Measurement	Staff appointed and trained (as detailed in the POM).				



Comments	The DMA/TNUIFSL to provide training to accounts personnel of ULBs on accounting for this Program by June 2025.
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Action Description	Appoint external auditor for the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA and TNUIFSL	Other	Within six months from effectiveness and periods as per the IFSA	Delayed
Completion Measurement	Appoint an auditor to conduct annual Program audit and submit separate reports for financial management and procurement to the Bank				
Comments	Auditor to be appointed by June 2025.				

Action Description	Establish a complaint handling mechanism at implementing agencies to handle Program related fiduciary complaints				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA/TNUIFSL in coordination with ULBs	Other	Within three months from effectiveness and semi-annually	Completed
Completion Measurement	Functional complaint handling mechanism established and contact of nodal officer displayed on the official website for receiving complaints. Semi-annual reports using the formats provided in the POM submitted.				
Comments	The First Complaint Handling Report to be submitted by May 15, 2025. The names of the Nodal Persons will be disclosed by May 31, 2025.				

Action Description	Establish water and wastewater quality surveillance program and disclose results				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Technical	NA	ULBs	Other	Within three years of Program implementation	Not Yet Due
Completion Measurement	ULBs have established the surveillance program for city-wide sampling, testing and disclosure of water quality and wastewater influent and effluent quality as per applicable norms, and disclose results on a quarterly basis (see POM for details).				



Comments	The Program plans to adopt CPHEEO guidelines and TNPCB norms. Gap analysis will be completed in all ULBs by September 2025.
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Action Description	Strengthen procurement and contract management by (a) integrating the Procurement Plan for the Program to MIS; and (b) developing Standard Tender Documents and guidance for the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Fiduciary Systems	NA	DMA	Other	(a) Within a year from effectiveness and disclose procurement information annually; (b) within six months from effectiveness and update periodically.	In Progress
Completion Measurement	(a) PP is integrated with MIS and monitored through KPIs (see IFSA). Procurement information and contract award details are disclosed; (b) STDs are developed and adopted for the Program's procurement; detailed guidance is included as an annex in POM.				
Comments	Ongoing for (a) and completed for (b).				

Action Description	Ensure bid documents and contracts have adequate resources provisioned for management of the social risks identified in the Detailed Project Reports				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Environmental and Social Systems	NA	ULBs, TNUIFSL and DMA	Other	Before signing of contracts; implementation throughout Program duration	Completed
Completion Measurement	Bid documents and contracts have adequate resources provisioned for management of the social risks identified in the DPRs; Contractors' responsibilities on management of social risks and impacts are rigorously monitored by IAs.				
Comments	The World Bank ESHS has been included in all the bid/ contract documents. The ESMP cost has been included in the BoQ as a separate schedule.				



Action Description	Ensure all Detailed Project Reports identify and address social risks and all activities that involve compulsory land acquisition/involuntary resettlement are excluded from the Program				
Source	DLI#	Responsibility	Timing	Timing Value	Status
Environmental and Social Systems	NA	ULBs, TNUIFSL and DMA	Other	Before DPRs are finalized and approved	Completed
Completion Measurement	All DPRs have identified social risks using the screening checklist provided in the ESSA and addressed the identified social risks. All activities that involve compulsory land acquisition/involuntary resettlement have been excluded from the Program.				
Comments	TNUIFSL confirmed (in a letter dated 18.10.2023) that none of the sub-projects involve any land acquisition or involuntary resettlement.				

5. KEY DATES

Key Events	Planned	Actual
Approval	21-Dec-2023	21-Dec-2023
Effectiveness	22-Apr-2024	22-Apr-2024
Mid-Term Review No. 01	05-Jul-2027	
Operation Closing/Cancellation	31-Dec-2030	

6. SYSTEMATIC OPERATIONS RISK-RATING TOOL

Risk Category	Rating at Approval Approval Package - 22 Dec 2023	Last Approved Rating ISR Seq. 01 - 22 Mar 2024	Proposed Rating
Political and Governance	● Moderate	● Moderate	● Moderate
Macroeconomic	● Moderate	● Moderate	● Moderate
Sector Strategies and Policies	● Moderate	● Moderate	● Moderate
Technical Design of Project or Program	● Substantial	● Substantial	● Substantial



Institutional Capacity for Implementation and Sustainability	● Moderate	● Moderate	● Moderate
Fiduciary	● Moderate	● Moderate	● Moderate
Environment and Social	● Substantial	● Substantial	● Substantial
Stakeholders	● Moderate	● Moderate	● Moderate
Overall	● Substantial	● Substantial	● Substantial



7. RESULTS

7.1 PDO Indicators by PDO Outcomes

RA 1: Strengthening Urban Management, Institutional Framework & Climate Resilience								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
ULBs with OSR increase of above 65 percent over respective baselines in FY2021-22 (Number)	0	Sep/2023	0	29-Feb-2024	3	01-Sep-2024	17	Dec/2030
	Comments on achieving targets		Dindigul, Tambaram and Thiruvavur have over 65% increase in OSR					
ULBs with adoption of CCAP (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	17	Dec/2030
	Comments on achieving targets		Tiruchirappalli has the cross-cutting CCAP approved but the four subplans are yet to be developed. Consultants are being procured to support all ULBs in developing CCAP.					
ULBs with institutional performance indicator score above 60 points out of 100 (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	17	Dec/2030
	Comments on achieving targets		Assessment will be done in 2025.					
RA 2: Improving Accessibility, Climate Resilience and Efficiency of Urban WSS Services								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
People provided with access to functional WSS services under the Program (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	2,020,946	Dec/2030
	Comments on achieving targets		Early stage of implementation.					
Women provided with access to functional	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	1,010,473	Dec/2030



WSS services under the Program (Number)								
People provided with access to functional water services (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	763,034	Dec/2030
People provided with access to functional sewerage service (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	1,257,912	Dec/2030
ULBs with increase in cost recovery of O&M expenses in WSS services of at least 30 percentage points over respective baseline in FY2021-22 (Number)	0	Sep/2023	0	29-Feb-2024	0	29-Feb-2024	17	Dec/2030
	Comments on achieving targets		Baseline to be validated by December 2024.					

7.2 Intermediate Results Indicators by Results Areas

RA 1: Strengthening Urban Management, Institutional Framework & Climate Resilience								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
ULBs meeting the minimum conditions (Number)	0	Jun/2023	0	29-Feb-2024	0	01-Sep-2024	17	Jun/2030
	Comments on achieving targets		Assessment will be done by September 30 2024					
	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	50	Dec/2030



Women holding decision-making positions in CCAP Committees (Percentage)	Comments on achieving targets		ULBs are in the process of forming CCAP committees.					
Value of municipal bonds issued under the Program (US\$ million) (Amount(USD))	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	30	Dec/2030
	Comments on achieving targets		Financial appraisals have been completed in Trichy, Coimbatore and Tiruppur in preparation for bond issuance.					
RA 2: Improving Accessibility, Climate Resilience and Efficiency of Urban WSS Services								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Water connections delivering ULBs with 24x7 water service delivery (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	87,760	Dec/2030
	Comments on achieving targets		Early stage of implementation.					
Households connected to the sewerage network in Program areas (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	279,536	Dec/2030
	Comments on achieving targets		Early stage of implementation.					
ULBs implementing volumetric billing of all 24x7 connections (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	9	Dec/2030
	Comments on achieving targets		Early stage of implementation.					
Areas designated as parks developed in participating ULBs (Percentage)	40	Sep/2023	40	29-Feb-2024	40	01-Sep-2024	60	Dec/2030
	Comments on achieving targets		Progress will be assessed in September 2024.					
ULBs demonstrating energy savings in municipal assets of above 25% over respective baseline in 2021-22 (number) (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	17	Dec/2030
	Comments on achieving targets		Progress will be assessed in September 2024.					



ULBs with reduction in time spent by women and girls managing water collection of above 20 percent over respective baseline in 2024 (Number)	0	Sep/2023	0	29-Feb-2024	0	01-Sep-2024	9	Dec/2030
Comments on achieving targets		Baseline survey to be conducted by December 2024.						

7.3 Disbursement Linked Indicators (DLI)

PBC Name		Baseline	Actual (Previous)		Actual (Current)		Closing Period
			Value	Date	Value	Date	
1:Increase in OSR (Percentage) Partially achieved	Value	The total OSR of the Participating ULBs was US\$127.23 million in FY2021-22	0	29-Feb-2024	OSR in FY22-23 is INR 15,567,174,344.71, 36% over the baseline of INR 11,419,984,499. Disbursement amount is JPY 2,106,272,967.56 (US\$14.4 million).	01-Sep-2024	Incremental increase in OSR over respective Participating ULB baseline in FY2021-22
	Allocated Amount	0.00					4,330,080.00
DLI allocation			27,063,000.00				
2:Increased access to financial market (Amount(USD))	Value	No	0	29-Feb-2024	0	01-Sep-2024	--
	Allocated Amount	0.00					0.00



Not Due							
DLI allocation			4,000,000.00				
3:Enhanced institutional capacity for climate resilience planning (Text) Not Due	Value	No available CCAP	0	29-Feb-2024	0	01-Sep-2024	No. of ULBs that have adopted and initiated implementation of CCAP
	Allocated Amount	0.00					600,000.00
DLI allocation			6,000,000.00				
4:Improved fundamental institutional capacity (Text) Not Due	Value	No participating ULBs have met the MCs in the baseline year	0	29-Feb-2024	0	01-Sep-2024	Number of Participating ULBs that have met MCs
	Allocated Amount	0.00					2,272,000.00
DLI allocation			13,632,000.00				
5:Strengthened institutional capacity to manage resources in a sustainable, participatory, and green manner (Text) Not Due	Value	-	0	29-Feb-2024	0	01-Sep-2024	Aggregate score of performance indicators achieved by the Participating ULBs
	Allocated Amount	0.00					4,090,000.00
DLI allocation			20,450,000.00				



6:Delivery of functional water and sewerage connections (Number) Not Due	Value	0	0	29-Feb-2024	0	01-Sep-2024	See DLI6.1, 6.2 and 6.3
	Allocated Amount	0.00					40,148,160.00
DLI allocation			139,500,000.00				
6.1:ULBs implementation of WSS investments incorporating climate resilience guidelines (Text) Not Due	Value	-	0	29-Feb-2024	0	01-Sep-2024	-
	Allocated Amount	0.00					0.00
DLI allocation			69,750,000.00				
6.2:Number of new or rehabilitated functional water tap connections (Number) Not Due	Value	0	0	29-Feb-2024	0	01-Sep-2024	Number of additional new or rehabilitated FWTCs
	Allocated Amount	0.00					8,509,200.00
DLI allocation			17,018,400.00				
6.3:Number of new functional sewerage	Value	0	0	29-Feb-2024	0	01-Sep-2024	Number of additional new FSCs



connections (Number) Not Due	Allocated Amount	0.00					31,638,960.00
DLI allocation			52,731,600.00				
7:Increased operational, climate and financial efficiency of WSS services (Text) Not Due	Value	--	0	29-Feb-2024	0	01-Sep-2024	See DLI7.1, 7.2, 7.3 and 7.4
	Allocated Amount	0.00					19,663,870.00
DLI allocation			54,405,000.00				
7.1:Number of ULBs with PBCs signed for water and/or sanitation services (Number) Not Due	Value	0	0	29-Feb-2024	0	01-Sep-2024	--
	Allocated Amount	0.00					0.00
DLI allocation			17,451,492.00				
7.2:Number of water connections with NRW 20% or below in areas receiving 24 x 7 services (Number)	Value	0	0	29-Feb-2024	0	01-Sep-2024	--
	Allocated Amount	0.00					0.00



Not Due							
DLI allocation			4,265,896.00				
7.3:Increase in cumulative volume of sewage treated (meeting minimum standards) in eligible existing STPs (Text) Not Due	Value	111 MLD	0	29-Feb-2024	0	01-Sep-2024	Increase in cumulative volume of sewage treated (meeting minimum standards) over baseline, in eligible existing STPs
	Allocated Amount	0.00					8,550,000.00
DLI allocation			8,550,000.00				
7.4:Increase in O&M cost recovery of WSS services (Number) Not Due	Value	0	0	29-Feb-2024	0	01-Sep-2024	Increase in O&M cost recovery of WSS services over ULB respective baseline
	Allocated Amount	0.00					8,045,872.00
DLI allocation			24,137,612.00				
8:Improved city-level climate resilience (Text) Not Due	Value	--	0	29-Feb-2024	0	01-Sep-2024	--
	Allocated Amount	0.00					0.00
DLI allocation			13,950,000.00				



8.1:Energy savings over respective ULB baseline of FY2021-22 (Text) Not Due	Value	241,254,186 kWh energy consumption from municipal assets in FY2021-22	0	29-Feb-2024	0	01-Sep-2024	--
	Allocated Amount	0.00					0.00
DLI allocation			9,067,500.00				
8.2:Increase in area of green space (Square Meter(m2)) Not Due	Value	1.23 million m2 of developed parks exists in participating ULBs	0	29-Feb-2024	0	01-Sep-2024	-
	Allocated Amount	0.00					0.00
DLI allocation			4,882,500.00				